
INTRODUCTION TO MANAGEMENT



*The Principles of Management
for the First-Year Student*

A TEXTBOOK FOR FIRST-YEAR STUDENTS

BIJOY?!

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GLOSSARY

Accountability. The duty to answer for results. (*Ch. VII*)

Authority. The right to give orders and make decisions. (*Ch. VII*)

Autocratic style. The leader decides alone. (*Ch. VIII*)

Behavioral model. Design that stresses people, teams and flexibility. (*Ch. VII*)

Boundary spanning. Work of staff who deal with outsiders for the firm. (*Ch. III*)

Bounded rationality. People choose with limited information and time. (*Ch. VI*)

Bureaucracy. An organization run by fixed rules, clear ranks and written records. (*Ch. II*)

Bureaucratic model. Design by fixed rules, ranks and procedures. (*Ch. VII*)

Business ethics. Standards of right and wrong that guide conduct in business. (*Ch. III*)

Centralization. Keeping decision power at the top. (*Ch. VII*)

Certainty. The outcome of each alternative is known. (*Ch. VI*)

Conceptual skill. Ability to see the organization as a whole. (*Ch. I*)

Concurrent control. Action during the work. (*Ch. IX*)

Contingency. Depending on the situation. (*Ch. II*)

Controller. A staff manager who designs and runs the control system. (*Ch. IX*)

Controlling. Comparing actual results with the plan and correcting the difference. (*Ch. IX*)

Coordination. Joining the work of different people and parts toward one goal. (*Ch. VII*)

Corporate social responsibility. A firm's duty to act for the good of society, beyond profit and the law. (*Ch. III*)

Creativity. Producing new and useful ideas. (*Ch. VIII*)

Davis model. Keith Davis's five propositions on business and society. (*Ch. III*)

Decentralization. Spreading decision power to lower levels. (*Ch. VII*)

Decision. A choice among alternatives. (*Ch. VI*)

Decision maker. The person who makes the choice. (*Ch. VI*)

Decision support system. Computer system that gives managers data for decisions. (*Ch. VI*)

Delegation. Giving part of one's authority and tasks to a subordinate. (*Ch. VII*)

Democratic style. The leader shares decisions. (*Ch. VIII*)

Departmentalization. Grouping jobs into departments. (*Ch. VII*)

Effectiveness. Doing the right thing, so goals are reached. (*Ch. I*)

Efficiency. Doing the thing right, with little waste. (*Ch. I*)

Emotional intelligence. Skill in understanding and managing one's own and others' feelings. (*Ch. VIII*)

Environment. Everything inside and outside an organization that affects its work. (*Ch. III*)

Expected value. The average result if a choice were repeated many times. (*Ch. VI*)

Feedback control. Action after the work, from results. (*Ch. IX*)

Feedforward control. Action before work starts, to prevent problems. (*Ch. IX*)

First-line managers. Those who supervise workers directly. (*Ch. I*)

Formal organization. The planned structure with defined jobs and rules. (*Ch. VII*)

Function. A main kind of work that every manager performs. (*Ch. I*)

Functional authority. Limited right to direct others in one specialty. (*Ch. VII*)

Functional organization. Specialists direct work in their field. (*Ch. VII*)

General environment. Outside forces that affect all organizations. (*Ch. III*)

Hierarchy of needs. Maslow's ordered list of five human needs. (*Ch. VIII*)

Human factors. The needs, attitudes and relationships of people at work. (*Ch. VIII*)

Human relations. The view that workers' feelings and social needs affect output. (*Ch. II*)

Human skill. Ability to work with and understand people. (*Ch. I*)

Industrial Revolution. The change, from the late 1700s, from hand work at home to machine work in factories. (*Ch. II*)

Informal group. A group formed from personal ties, not by management. (*Ch. VIII*)

Informal organization. The unplanned network of personal relations. (*Ch. VII*)

Innovation. Putting a new idea into use. (*Ch. VIII*)

Internal environment. Forces inside: owners, employees, culture. (*Ch. III*)

Key result area. A field in which results decide the survival of the organization. (*Ch. V*)

Laissez-faire style. The leader leaves decisions to the group. (*Ch. VIII*)

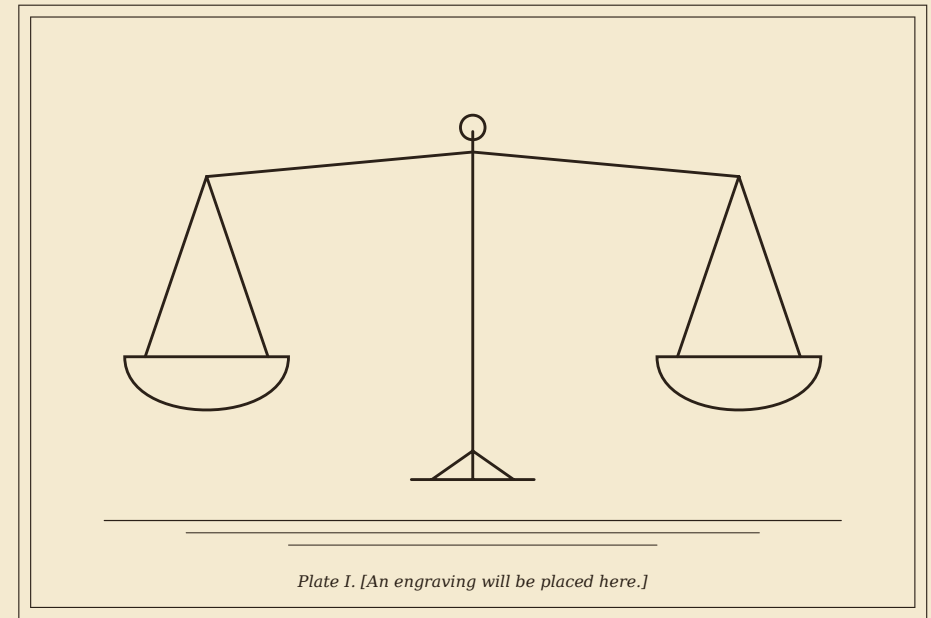
Leadership. Influencing people to work willingly toward a goal. (*Ch. VIII*)

Line authority. Right to command in the chain. (*Ch. VII*)

Line organization. Authority flows straight down, one superior for each person. (*Ch. VII*)

Line-and-staff organization. Line managers decide; staff specialists advise them. (*Ch. VII*)

Management. Getting work done through other people, to reach goals. (*Ch. I*)



CHAPTER I

What Management Is

Who makes a group of people more than a crowd?



This chapter defines management, shows what managers do and what skills they need, and asks whether management is a science, an art or a profession.

REVIEW QUESTIONS

Think each question through in your own words. If you cannot answer one, return to the chapter named beside it.

CHAPTER I: WHAT MANAGEMENT IS

- 1. Define management and name its four functions.
- 2. What is the difference between top, middle and first-line managers?
- 3. Describe the three skills of Katz and say which matters most at each level.
- 4. Distinguish between productivity, efficiency and effectiveness, with an example.
- 5. Is management a science, an art or a profession? Explain.
- 6. Why is management important to an organization?

CHAPTER II: THE GROWTH OF MANAGEMENT THOUGHT

- 1. Define scientific management and state Taylor's four principles.
- 2. Explain Fayol's fourteen principles of management.
- 3. Describe the evolution of management thought in your own words.
- 4. Differentiate between management science and scientific management.
- 5. What did the Hawthorne studies show?
- 6. List the different approaches to managing.

CHAPTER III: THE ENVIRONMENT AND SOCIAL RESPONSIBILITY

- 1. How does the external environment influence the internal environment of an organization?
- 2. How can an organization adapt to changes in the external environment?
- 3. What effect do social, political and legal forces have on an enterprise?
- 4. Define corporate social responsibility and explain the Davis model.
- 5. Define business ethics and sustainability.
- 6. What are the major social responsibilities of managers?

CHAPTER IV: PLANNING

- 1. What is planning, and what is its nature?
- 2. What are the purposes of planning?
- 3. Describe the six steps in the planning process.
- 4. What is a planning premise?
- 5. Distinguish between standing plans and single-use plans.
- 6. Why do plans fail, and how can planning be made effective?
- 7. Discuss the limits of planning.

CHAPTER V: OBJECTIVES AND MANAGEMENT BY OBJECTIVES

- 1. What is meant by an organizational objective?
- 2. Discuss the nature of objectives.
- 3. Describe the eight key areas in which objectives should be set.
- 4. What is management by objectives, and how would you describe it?
- 5. Discuss the MBO process with the help of a diagram.
- 6. Mention the benefits and the weaknesses of MBO.

CHAPTER VI: DECISION MAKING

- 1. What do you understand by decision making?
- 2. Elaborate the steps in the decision-making process, and show the model.
- 3. Mention the elements in a decision situation and describe them briefly.
- 4. What are the conditions of decision making?
- 5. Discuss probability theory and decision trees as decision-making tools.

THE FUNCTIONS OF MANAGEMENT

Slowly, now. Management is made of four **functions**, and together they form the **management process**. *Planning* chooses goals and the way to reach them. *Organizing* arranges people and resources to carry out the plan. *Leading* guides and motivates people. *Controlling* compares results with the plan and corrects the difference. In daily life you perform all four when you organise a journey: you choose a destination, pack, guide your family and check the time.

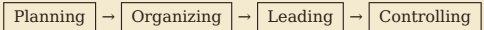


FIG. 1. The management process: each function feeds the next, and controlling leads back to planning.

These functions overlap in practice. A manager may plan in the morning, correct a mistake at noon and encourage a tired worker in the afternoon. Still, the four names help a beginner to sort a confusing day into clear kinds of work. *You should now be able to say:* management is planning, organizing, leading and controlling.

MANAGERS AND THEIR RESOURCES

Not all managers are alike. **Top managers** set the direction of the whole organization. **Middle managers** turn that direction into plans for a department. **First-line managers** supervise the workers who do the actual work. By area, a *functional* manager is responsible for one activity such as sales, and a *general* manager is responsible for all of them.

Managers use four kinds of **resources**. *Human resources* are the people and their skills. *Financial resources* are the money. *Physical resources* are buildings, machines and materials. *Information resources* are the facts needed for decisions. The skill of a manager lies in combining all four, since a shortage of any one holds back the rest. Each manager is also responsible for results: managerial responsibility means accepting the duty to account for the work of one's group.

GO SLOWLY HERE.

Function. A main kind of work that every manager performs.

Top managers. Those who set direction for the whole organization.

Middle managers. Those who carry out top managers' plans through a department.

First-line managers. Those who supervise workers directly.

Resources. Things an organization uses to reach its goals.

¹ Henri Fayol, a French mining engineer, wrote in 1916 that to manage is to forecast, organize, command, coordinate and control. The wording has changed since; the idea has lasted.

380 g, and the variance is $380 - 400 = -20$ g. *Answer:* the second batch is 20 g (5 per cent) under standard. *Check:* $20 \div 400 = 0.05$, which is 5 per cent. A common slip is to ignore the sign of the variance.

Feedforward control.
Action before work starts, to prevent problems.

Concurrent control.
Action during the work.

Feedback control. Action after the work, from results.

TYPES OF CONTROL

There are three basic types. **Feedforward** (or preliminary) control acts *before* work begins, such as inspecting flour before it is used. **Concurrent** control acts *during* the work, such as a baker checking dough as it is mixed. **Feedback** control acts *after* the work, from the result, such as a monthly profit report. Feedforward prevents errors; concurrent corrects them at once; feedback teaches for the future but cannot undo the past.

THREE TYPES OF CONTROL		
Type	When	Example
Feedforward	Before	Test flour quality
Concurrent	During	Supervise baking
Feedback	After	Monthly sales report

Common *methods* include budgets, reports, audits, inspection, and direct observation. Each is a means of one of the three types, as a budget can warn before spending (feedforward) and compare after it (feedback).

EFFECTIVE CONTROL AND ITS BARRIERS

Control must suit the task and the people.

Effective control is *accurate, timely, economical* (it must cost less than the loss it prevents), *flexible, simple to understand, focused on critical points* and *accepted* by those controlled. A control that arrives late or that nobody understands has no value.

Barriers to successful controlling include *resistance* from workers who feel watched, *overcontrol* that kills initiative, *wrong standards, difficulty in measuring* some work such as creativity, *delay* in reporting, a *short-term view* that ignores long-term results, and *cost*. A manager overcomes them by involving people in setting standards, explaining the purpose, and controlling only the critical points.

A control process succeeds when its standards come from clear objectives, measures are accurate and prompt, those affected understand and accept it, and managers act on the results. Control also makes a manager more efficient: it exposes waste early, saves time through exceptions (acting only on large deviations), and frees attention for planning. As Chapter IV showed, planning and controlling are twins: planning sets the standard, and controlling tells planning where to repair. Power and control are also related, for the right to control is a form of power, and those who control resources gain influence.



revenue of Tk 90,000. One partner will plan and buy; the other will bake and serve. This is the first sign of managerial work: dividing the tasks.

Summary

Management is getting results through people by planning, organizing, leading and controlling. It uses human, financial, physical and information resources, needs technical, human and conceptual skills, and aims at efficiency and effectiveness together. It is both science and art, and only partly a profession.

Think it through

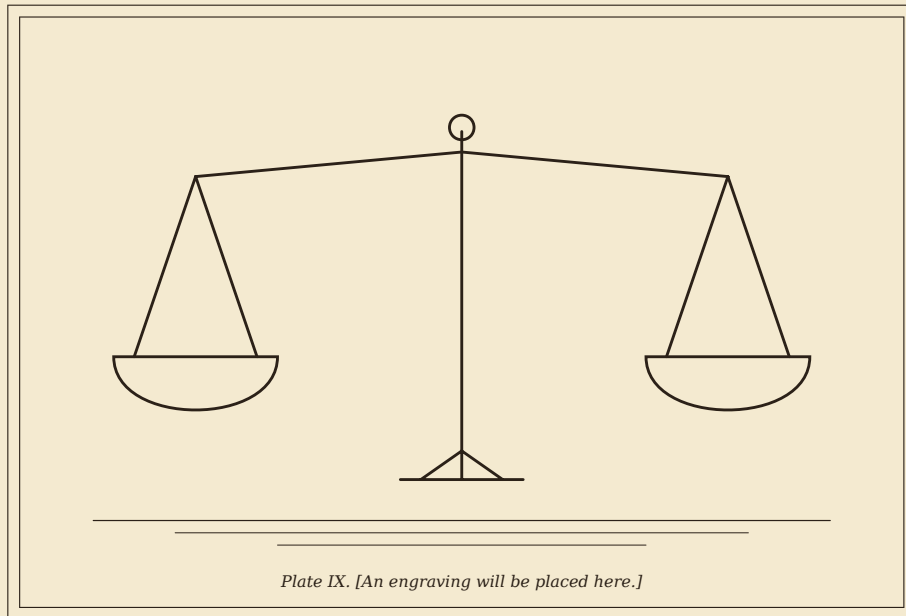
Golden Crust bakes 150 loaves in 10 hours with two workers. Next month it bakes 180 loaves in 10 hours with the same workers. Calculate the productivity each month and state whether efficiency or effectiveness is shown by the change.

Where people go wrong

Students often say that a manager is anyone with a senior title. In fact, a person who supervises a team of one is a manager. Others think efficient means effective; the bakery that makes unwanted bread shows the difference.

In history

In 1911 the American engineer Frederick W. Taylor published *The Principles of Scientific Management*. He argued that work could be studied and improved as a subject, instead of being left to habit. This idea gave management its first claim to be a field of study, and the next chapter tells the story.



CHAPTER IX

Controlling

How does a manager know that the plan is still working?

This chapter explains what controlling is, how the control process runs, the types of control, what makes control effective, and what stands in its way.

Many people have asked whether one right method exists.

Industrial Revolution. The change, from the late 1700s, from hand work at home to machine work in factories.

Scientific management. Studying work by observation and measurement to find the best way to do it.

Taylor studied the job; Fayol studied the whole organization.

Principle. A general guide to action, to be applied with judgement.

THE PUZZLE OF THE BEST WAY

Imagine ten bakers who each shape a loaf in a different way. One method is faster, and another wastes less dough. Should the shop's owner find the best method and require everyone to use it? Or do people work better when they choose their own way? For more than a century, thinkers have argued about such questions, and each answer produced a school of thought that still shapes how organizations work.

MANAGEMENT BEFORE THE FACTORY

Management has been practised for thousands of years, in building pyramids and running armies. As a subject of study, however, it is young. The **Industrial Revolution**, which began in Britain in the late 1700s, put hundreds of workers and costly machines under one roof. Owners now needed methods to organise people, control costs and keep output steady. The theories below answered that need.

SCIENTIFIC MANAGEMENT

Scientific management means using careful observation and measurement, instead of habit, to find the best way to do a job. Its founder was Frederick W. Taylor (1856-1915), an American engineer who began as a worker and later became a manager in steel works. He published *The Principles of Scientific Management* in 1911.¹

Taylor proposed four principles. First, replace rules of thumb with a science of each task. Second, select workers by fit and train them carefully. Third, cooperate with workers so that the work follows the science. Fourth, divide the work so that managers plan and workers perform. He also urged fair pay linked to output, to reward higher productivity.

ADMINISTRATIVE MANAGEMENT: FAYOL

Taylor looked at the workshop. Henri Fayol (1841-1925), a French mining engineer who became managing director of a coal and iron company, looked at the whole organization from the top. In 1916 he listed five duties of a manager (now four functions, as Chapter I showed) and fourteen **principles of management**, which are general guides for managing, not fixed laws.

Fayol insisted that principles are flexible. The table gives each principle with its plain meaning.

Emotional intelligence. Skill in understanding and managing one's own and others' feelings.

Trait approach. Leaders are born with special qualities.

Situational approach. Best leadership depends on the situation.

Autocratic style. The leader decides alone.

Democratic style. The leader shares decisions.

Laissez-faire style. The leader leaves decisions to the group.

Transformational leadership. Inspiring followers to look beyond self-interest to a shared vision.

Super leadership. Leading others to lead themselves.

the leader's person. The first three come from the organization; the last two come from the leader.

Daniel Goleman (1995) described **emotional intelligence** as five skills: *self-awareness, self-regulation, motivation, empathy* and *social skill*. A leader with these skills stays calm under pressure, understands the worries of the team and builds trust. It is necessary because leaders work through the feelings of others, and a leader who cannot manage his own anger loses the willing effort of the group.

APPROACHES AND STYLES OF LEADERSHIP

The **trait approach** holds that leaders have special qualities, such as intelligence, confidence and drive. Research found that no list of traits guarantees success. The **situational approach** holds that the best behaviour depends on the leader, the followers and the task. It is now widely accepted, in line with the contingency view of Chapter II.

Kurt Lewin and colleagues (1939) described three *styles*. The **autocratic** leader decides alone and gives orders; it is quick, but breeds fear. The **democratic** leader shares decisions with the group; it raises commitment but is slower. The **laissez-faire** leader leaves decisions to the group; it suits skilled, self-driven people and fails with others. No style is best; the manager chooses by situation.

Robert Tannenbaum and Warren Schmidt (1958) showed styles as a *continuum*: the manager chooses a point along a line, according to how much freedom is given to the group.

Manager decides and announces	Manager sells decision	Manager presents ideas, invites questions	Manager proposes tentative decision	Manager presents problem, takes suggestions	Manager sets limits, group decides	Group decides within limits
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FIG. 8. The Tannenbaum and Schmidt continuum: boss-centred behaviour on the left, subordinate-centred on the right.

Read the figure from left to right: the manager's authority falls and the group's freedom rises. The right point depends on three forces: the *manager* (values, confidence in workers), the *subordinates* (readiness, desire for freedom) and the *situation* (urgency, type of organization).

Three modern forms are noted. **Transformational leadership** (Burns, 1978) inspires people to rise above self-interest and work toward a vision. *Coaching* develops people by guidance, feedback and encouragement. **Super leadership** (Manz and Sims, 1989) leads others to lead themselves, by teaching self-direction.

Case file, illustrative. Golden Crust's partners notice that the seller who watches the clock lacks recognition. They add a

Management science. Using mathematical models and computers to solve management problems.

System. A set of connected parts working toward one purpose.

Contingency. Depending on the situation.

QUANTITATIVE, SYSTEMS AND SITUATIONAL VIEWS

During the Second World War, teams of scientists used mathematics to solve problems of supply and defence. After the war, business adopted these methods, called **management science** (or operations research). Do not confuse it with scientific management. Scientific management studies *how a job is done*, by observation of work. Management science builds *mathematical models* to help managers decide, for example, how much stock to hold.

The **systems approach** sees an organization as a **system**: parts such as departments that depend on each other and on the outside world. The **contingency approach** teaches that no single method suits every case; the right action depends on the situation. Modern managers use all the schools together, choosing what the situation demands.

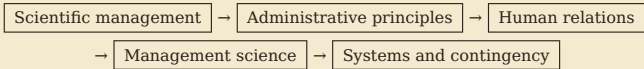


FIG. 2. Approaches to managing, in order of appearance (about 1900 to the present).

Case file, illustrative. Golden Crust's partners time each step of making a loaf and cut the shaping time from 4 minutes to 3 (scientific management). They then give each worker one supervisor (unity of command) and ask workers for ideas on new flavours (initiative).

Summary

Scientific management (Taylor) improved jobs by measurement. Fayol set out fourteen general principles for the whole organization. Weber described bureaucracy, and the Hawthorne studies showed the importance of people. Management science adds mathematics; systems and contingency views teach that the best method depends on the situation.

Think it through

A new worker at Golden Crust is told to bake by the head baker and also to sell by the manager. Which of Fayol's principles is broken, and how would you fix it?

Where people go wrong

Students confuse scientific management with management science; remember that one studies tasks and the other builds models. Others treat Fayol's principles as laws; Fayol himself called them flexible.

¹ Taylor measured tasks with a stopwatch. This is called time study, and it remains in use in factories.

Equal pay and equal skill,
but unequal effort.

THE PUZZLE OF THE TWO COUNTERS

Two sellers work at the same bakery for the same pay. One arrives early, remembers the customers' names, and suggests new products. The other watches the clock. The manager cannot explain the difference by skill or pay. The difference lies in what moves each person to act, and in how well the manager guides them. This guiding of people is the function of leading.

THE HUMAN FACTORS IN MANAGEMENT

Human factors. The needs, attitudes and relationships of people at work.

Theory X. The view that people dislike work and must be controlled.

Theory Y. The view that people enjoy work and can direct themselves.

Human factors are the needs, attitudes, abilities and relationships of people at work. Workers differ in what they want, how they see events and how they act in groups. A manager who studies these differences can match tasks to people and can predict how they will respond to change. The ideas below build on this study.

In 1960 Douglas McGregor described two sets of assumptions managers hold. **Theory X** assumes that people dislike work, avoid responsibility, and must be directed and threatened. **Theory Y** assumes that work is natural, that people can direct themselves toward goals they accept, and that many seek responsibility. A manager with Theory X assumptions supervises closely; one with Theory Y assumptions gives freedom. McGregor argued that Theory Y suits most modern workers, but each manager must judge the situation.

MOTIVATION

Motivation. The inner force that makes a person act toward a goal.

GO SLOWLY HERE.

Need. Something a person feels the lack of.

Motivation is the inner force that makes a person act to reach a goal. Managers must understand it for three reasons: a motivated worker produces more, stays longer, and needs less supervision. Motivation theory rests on three assumptions: behaviour has a cause; behaviour is directed at a goal; and people act to meet needs.

Slowly, now. The *needs-goal model* connects these assumptions. A **need** is something a person feels the lack of, such as hunger. The need creates tension, called a *drive*. The drive leads to *goal-directed behaviour*: the person looks for food. If the goal is reached, the need is met and tension falls. The result is *satisfaction*, which is *fed back* to the person, who adjusts future behaviour. If the goal is not reached, new behaviour is tried.

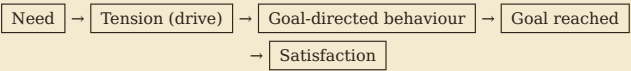


FIG. 6. The needs-goal model of motivation; feedback from satisfaction returns to the person's needs.

A worker needs more income. The tension leads her to work overtime. She earns the money and feels satisfied, and the lesson of that overtime guides her next choice. *You should now be*

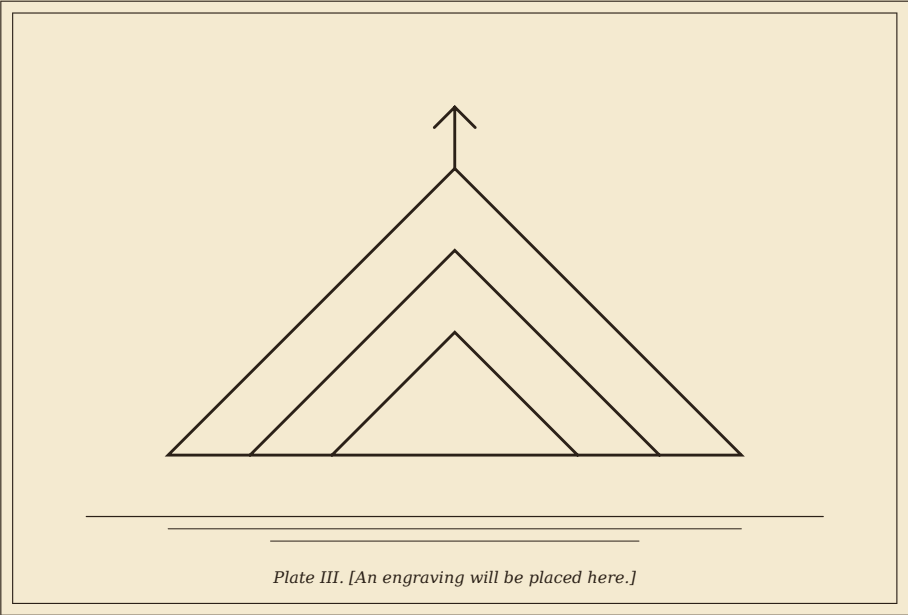


Plate III. [An engraving will be placed here.]

CHAPTER III

The Environment and Social Responsibility

What happens outside the shop door still
reaches the oven.



This chapter shows how forces inside and outside an organization shape its work, how it can respond, and what duties it owes to society.

In history

In 1920 Alfred P. Sloan, later the president of General Motors, proposed an organization plan giving the car divisions control of daily operations while the centre kept control of policy and finance. This balance of decentralization with coordination helped General Motors to grow into a leading car maker.

Corporate social responsibility. A firm's duty to act for the good of society, beyond profit and the law.

Davis model. Keith Davis's five propositions on business and society.

Business ethics. Standards of right and wrong that guide conduct in business.

Sustainability. Meeting present needs without harming the chances of future generations.

choice depends on cost and on how fast the environment moves.

SOCIAL RESPONSIBILITY

Corporate social responsibility (CSR) means the duty of a business to act in ways that benefit society, beyond making a profit and obeying the law. Supporters say that business uses society's resources and gains from its stability, so it should give something back, and that responsible firms earn trust. Opponents, such as the economist Milton Friedman (1970), argued that managers should serve owners and that social causes belong to government.

The **Davis model**, from the American scholar Keith Davis (1960), states five propositions. Social responsibility comes from *social power*. Business should operate openly and listen to society. Social costs and benefits should be weighed before an activity is begun. Social costs should be added to the price of the product. And business should help solve social problems beyond its normal area when it has the skill. Davis added an *iron law*: those who do not use social power responsibly will lose it.

Business ethics means the standards of right and wrong that guide managers. The law sets a minimum; ethics asks for more. **Sustainability** means meeting present needs without damaging the ability of future generations to meet theirs, a definition from the 1987 report of the Brundtland Commission. In business it asks managers to balance profit, people and the natural environment.

Managers carry social duties to several groups: to *owners* (a fair return), *employees* (safe work, fair pay), *customers* (honest goods), the *community*, the *natural environment*, and *government* (obeying law). Responding to these influences means listening, forecasting, and sometimes changing policy before the law forces a change.

Case file, illustrative. After a rise in flour prices, Golden Crust buys from two mills, uses sealed bins for food safety, and gives its unsold bread to a local shelter each Friday. Each act answers one outside force or one social duty.

Summary

The environment has an internal part and an external part, itself divided into general and task parts. Outside changes become inside decisions. Organizations adapt by forecasting, flexibility, influence, buffering, boundary spanning and alliances. Social responsibility, ethics and sustainability are duties to society; Davis set out the main model.

AUTHORITY, RESPONSIBILITY AND DELEGATION

Authority. The right to give orders and make decisions.

Responsibility. The duty to do an assigned task.

Accountability. The duty to answer for results.

Line authority. Right to command in the chain.

Staff authority. Right to advise.

Functional authority. Limited right to direct others in one specialty.

Delegation. Giving part of one's authority and tasks to a subordinate.

Authority is the right to give orders and to make decisions. **Responsibility** is the duty to perform a task. **Accountability** is the duty to answer to a superior for the result. The three move together: responsibility without matching authority leaves the person unable to act, and authority without accountability invites abuse. This is the relationship between responsibility and authority.

Kinds of authority. **Line authority** is the right to command subordinates in the chain; **staff authority** is the right to advise; **functional authority** is a limited right of a specialist to direct people outside his own department in his own field, as a finance officer may require every department to follow the same accounting rules. It is delegated by the line manager, in writing and for a defined area. Authority differs from *power*: authority is a right that comes from position, and power is the ability to influence, which may come from skill or personality.

Delegation means giving a subordinate part of your tasks, with the authority to do them, and holding him accountable. It has three steps: assign the duty, grant the authority, and create the obligation to report. Delegation is the means by which authority is *distributed* through the organization, from the top to the lower levels. Obstacles come from the manager (fear of losing control, belief that "I can do it better," lack of trust), from the subordinate (fear of mistakes, lack of confidence) and from the organization (unclear duties, no culture of trust).

CENTRALIZATION AND DECENTRALIZATION

Centralization. Keeping decision power at the top.

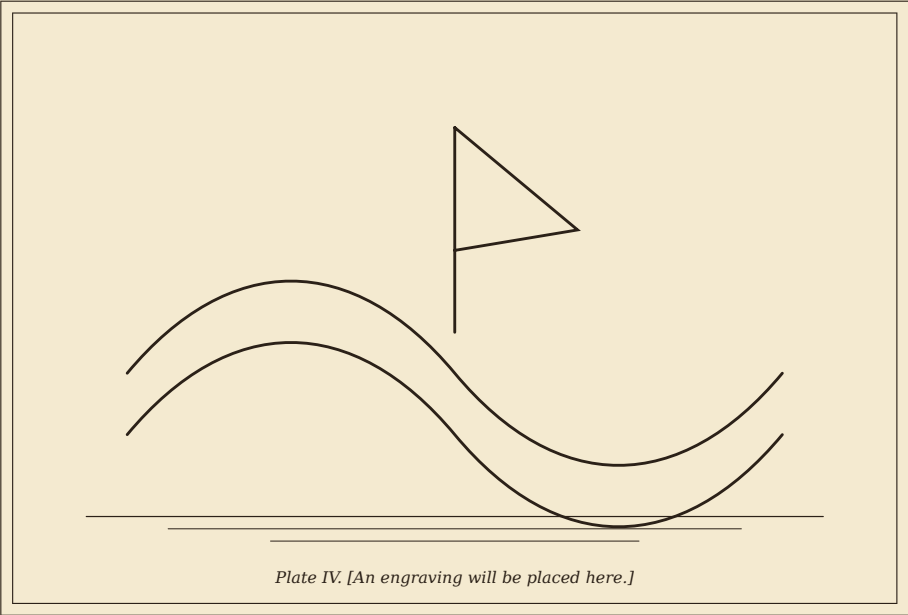
Decentralization. Spreading decision power to lower levels.

In a **centralized** organization, important decisions are made at the top; in a **decentralized** one, they are made at lower levels. Centralization gives *uniform policy, close control and lower duplication*, but is slow and uses little local knowledge. Decentralization gives *speed, local knowledge, motivation and training of managers*, but risks inconsistency and higher cost. Most firms balance the two. Decentralization is related to departmentalization: when a firm splits into product or geographic departments, it must decide how much power each department receives.

COORDINATION

Coordination. Joining the work of different people and parts toward one goal.

Coordination is the joining of separate activities toward one goal. Division of labour raises the need for it: the more the work is divided, the more the parts must be fitted together. Its basic activities are *setting common objectives, clear communication, scheduling, and sharing information*.



CHAPTER IV

Planning

How does a traveller reach a place that has not yet been chosen?

This chapter explains what planning is, why it comes first among the functions, the kinds of plan, the six steps of planning, and why plans fail.

Growth forces a shop to divide its work.

THE PUZZLE OF THE GROWING SHOP

Golden Crust began with two partners who did everything. A year later it has ten workers. Who orders flour? Who decides the price? To whom does a new baker report? A shop of two can answer such questions in conversation. A shop of ten cannot, and a company of two hundred certainly cannot. The work of arranging people, tasks and authority so that a plan is carried out is called organizing.

MEANING, NATURE AND PURPOSE

Organizing. Arranging people, tasks and resources so that plans can be carried out.

Organization structure. The formal pattern of jobs and reporting lines.

Organizing means arranging people, tasks and resources so that plans can be carried out. Organizing is the main way in which managers activate plans: planning only says what to do, and organizing gives people the means to do it. The resulting pattern of jobs and reporting lines is the **organization structure**. Organizing is continuous, needs people, and depends on the plan and the environment.

Its purposes are to divide work among people, to define authority and duties, to avoid overlapping, to use skills well, and to make coordination possible. A good structure also lets each person know what is expected, and to whom he or she answers.

THE ORGANIZING PROCESS

Steps. Five steps turn a plan into a structure.

The process has five steps. *First*, review the plan and the objectives. *Second*, list the work to be done and divide it into tasks. *Third*, group related tasks into jobs and departments. *Fourth*, assign each job to a person and give the authority needed. *Fifth*, join the parts by lines of reporting and coordination, then review the result and adjust it.

FORMAL AND INFORMAL ORGANIZATION

Formal organization. The planned structure with defined jobs and rules.

Informal organization. The unplanned network of personal relations.

The **formal organization** is the planned structure shown on the organization chart, with defined jobs, rules and reporting lines. The **informal organization** grows by itself from friendship, shared interests and daily contact. It carries gossip but also help and advice, and managers who ignore it lose useful knowledge.

FORMAL AND INFORMAL ORGANIZATION		
Feature	Formal	Informal
Origin	Planned by management	Grows from personal relations
Authority	From position	From personal influence
Purpose	Reach organization goals	Meet social needs
Rules	Written	Unwritten
Shown on chart	Yes	No

GO SLOWLY HERE.

Planning premise. An assumption about the future on which a plan is built.

THE SIX STEPS OF PLANNING

Slowly, now. Six steps make a plan. *Step one:* be aware of an opportunity or problem, by studying the present position. *Step two:* set objectives, which are the results wanted. *Step three:* develop **planning premises**, which are assumptions about the future, such as expected prices or demand. *Step four:* find alternative ways to reach the objectives. *Step five:* evaluate them and choose the best. *Step six:* put the plan into action and prepare the supporting plans, such as budgets.

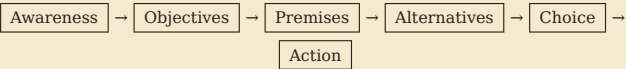


FIG. 3. The six steps of the planning process.

Consider a family planning a wedding. They ask what they can afford (awareness), fix the guest list (objective), assume the date and the season (premise), compare halls (alternatives), pick one (choice) and book it (action). The business plan follows the same order. *You should now be able to say:* a plan starts from a look at the present and ends in action.

WHY PLANS FAIL AND HOW TO IMPROVE THEM

Plans fail for causes inside and outside the plan.

Plans fail for many reasons. The objectives may be unclear. The premises may be wrong. The plan may be too rigid to change, or too costly to make. Employees who were not consulted may not support it. Top managers may lack commitment, or fail to check results. Outside changes may be too sudden to forecast. These are also the *limits of planning*: the future is uncertain, planning takes time and money, and it can make people slow to act.

To make planning effective, state clear objectives; use realistic premises; involve those who will carry out the plan; keep it flexible with a revision date; link each plan to a budget; and compare results against the plan. This last point joins planning to controlling: a plan gives control its standards, and control tells planning what to repair. Without plans there is nothing to control, and without control plans are only hopes.

Case file, illustrative. In January 2025 Golden Crust plans: objective, sell 3,600 loaves a month by June; premise, flour stays at Tk 55 per kilogram; alternatives, advertise or add a second counter; choice, second counter at Tk 40,000; action, build it in February.

Summary

A decision is a choice among alternatives, with decision maker, objectives, alternatives, states of nature, outcomes and preferences. The rational process runs from defining the problem to follow-up. Decisions are made under certainty, risk or uncertainty. Expected value and decision trees guide choice under risk; groups add knowledge but cost time.

Think it through

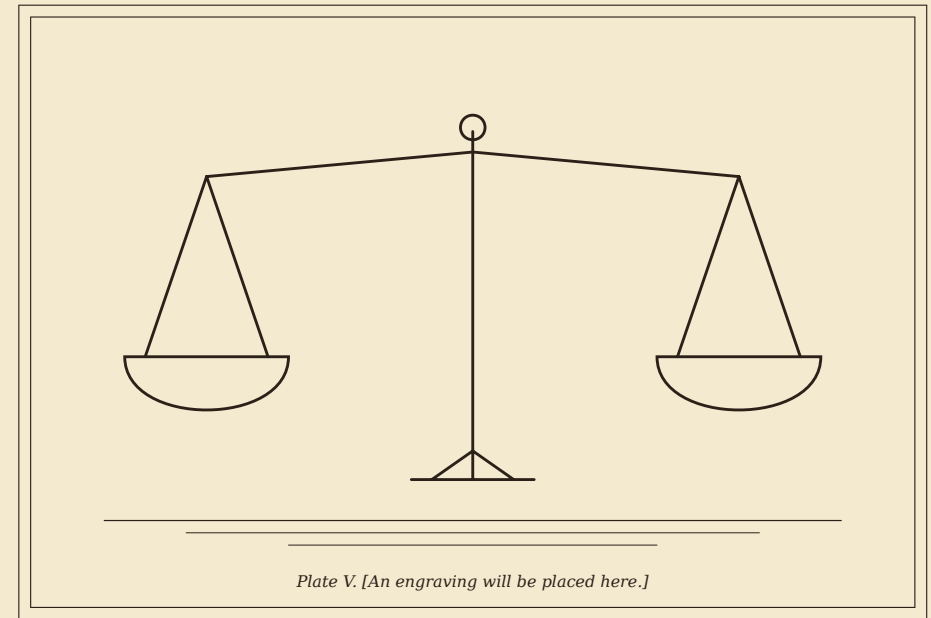
If the chance of high demand falls to 0.2 and medium demand rises to 0.6, with low demand still 0.2, recalculate the expected value of the oven and say whether the decision changes.

Where people go wrong

Students mix risk and uncertainty; under risk the chances are known. Others think the highest expected value is always the right choice, forgetting that the firm must survive the worst case.

In history

Herbert Simon, whose book *Administrative Behavior* appeared in 1947, received the Nobel Memorial Prize in Economic Sciences in 1978 for his research on decision making in organizations. His idea of bounded rationality changed how teachers describe managers' choices.



CHAPTER V

Objectives and Management by Objectives

How can a whole shop pull in one direction?



This chapter explains what objectives are, how to set them, the eight areas where they matter, and how management by objectives works, with its strengths and weaknesses.

A costly choice with an uncertain result.

THE PUZZLE OF THE SECOND OVEN

The partners of Golden Crust can buy a second oven for Tk 300,000. If demand grows, the oven pays for itself. If demand stays flat, it sits idle. Nobody can know the future. Yet a choice must be made, and each choice leads to a different result. How should they decide? This is the central question of the chapter, and many writers say it is the heart of management, because every function ends in a choice.

Decision. A choice among alternatives.
Decision maker. The person who makes the choice.

THE ELEMENTS OF A DECISION

A **decision** is a choice among alternatives. Every decision situation has the same *elements*. There is a **decision maker**, the person who chooses. There are *objectives* that the choice should serve. There are *alternatives*, the possible courses of action. There are *states of nature*, the future events that the decision maker cannot control. There are *outcomes*, the results of each alternative under each state. And there is a *preference*, the value placed on each outcome.

Rational decision making. Choosing by steps that weigh facts and alternatives logically.

THE DECISION-MAKING PROCESS

The **rational decision-making process** moves in steps. *First*, identify and define the problem. *Second*, collect the facts. *Third*, develop alternatives. *Fourth*, evaluate each alternative against the objectives. *Fifth*, choose the best one. *Sixth*, put it into action. *Seventh*, follow up and check the result, and begin again if the problem remains.

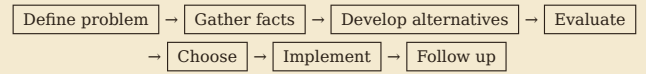


FIG. 5. The rational decision-making process; follow-up may return the manager to the first step.

Managers often ask which process is best. No process guarantees a good result, but the rational one is the best guide because it forces a clear problem, a search for alternatives, and a check after the action. Right decisions do not drive management alone, but wrong ones undo all the other functions.

CONDITIONS OF DECISION MAKING

Managers decide under three **conditions**. Under **certainty**, the outcome of each alternative is known: buying flour at a fixed price. Under **risk**, outcomes are uncertain but their chances can be estimated, as when past sales suggest a 40 per cent chance of high demand. Under **uncertainty**, the chances cannot even be estimated, as with a new product with no past record. Most important decisions are made under risk or uncertainty.

Certainty. The outcome of each alternative is known.
Risk. Outcomes are uncertain, but their chances are known.
Uncertainty. Chances are unknown.

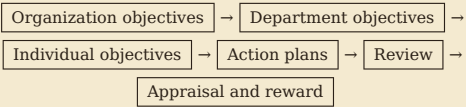


FIG. 4. The MBO cycle: the appraisal feeds the setting of the next objectives.

Read the figure from left to right and then back to the start. Imagine a class: the school sets a pass rate (organization), each teacher sets a target for her class (department), each student agrees to a score (individual), and results are reviewed each term. *You should now be able to say:* MBO links every person's target to the organization's goal, and repeats.

MBO has clear strengths and clear limits.

BENEFITS AND WEAKNESSES

Its *benefits* are better planning, clearer roles, higher motivation because people join in choosing goals, easier control since targets exist, and better communication between levels. Its *weaknesses* are as real. It takes much paperwork and time. It may push people toward goals that are easy to measure and away from those that matter. It can fail if top managers do not support it, if goals are forced downward without discussion, or if the environment changes faster than goals can be revised. Rewards tied only to targets may encourage short-term thinking.

Case file, illustrative. Golden Crust's partners set the shop objective: profit of Tk 30,000 a month by December 2025. The baker's target is to waste under 5 per cent of dough, and the seller's is 3,600 loaves a month. They review both targets on the last day of each month.

Summary

Objectives are specific, measurable and time-bound results. Drucker named eight areas where they matter. MBO turns organization goals into personal ones through joint setting, action plans, review and reward. It improves motivation and control but costs time and can neglect goals that are hard to measure.

Think it through

Rewrite the objective "improve customer service" so that it meets the five tests, and name one key result area it belongs to.

Where people go wrong

Students mix objectives with plans. An objective is the result wanted; a plan is how to get it. Others think MBO means orders from the top; it depends on joint setting.